

USDA Foreign Agricultural Service

GAIN Report

Global Agricultural Information Network

THIS REPORT CONTAINS ASSESSMENTS OF COMMODITY AND TRADE ISSUES MADE BY
USDA STAFF AND NOT NECESSARILY STATEMENTS OF OFFICIAL U.S. GOVERNMENT
POLICY

Voluntary Public

Date: 4/10/2017

GAIN Report Number:

Lithuania

Post: Warsaw

2017 Annual Oilseeds and Products Report.

Report Categories:

Oilseeds and Products

Approved By:

Russ Nicely, Agricultural Attaché

Prepared By:

Piotr Rucinski, Agricultural Specialist

Report Highlights:

It is estimated that rapeseed planted area in MY 2017/2018 will increase to 160,000 hectares, and will be four percent higher than in the previous year. Lithuanian's total production of rapeseed in MY 2017/18 is estimated at 450,000 MT, a three percent increase in comparison to MY 2016/2017. It is estimated that increase of production will stem from greater planted area which will offset reduction of yield caused by winter frost.

General Information:

Production

MY 2016/2017

In MY 2016/2017 (July-June) production of rapeseed in Lithuania amounted to 438,000 MT, a 15 percent decrease in comparison to MY 2015/2016 level. The acreage of rapeseed plantings in MY 2016/2017 was seven percent lower than in the previous year and amounted to 153,000 hectares. The reduction of planted area resulted from strong competition for more profitable production of wheat and winter frost which killed several plantations. Reduced acreage of rapeseed in MY 2015/2016 was accompanied by lower yield which resulted in further decrease of the crop. Implementation of the EU regulation of 2013 restricting the use of neonicotinoids in rapeseed planting did not affect conditions for rapeseed development. The share of rapeseed in the national sowing area in MY 2016/2017 was 10 percent, same as in MY 2015/2016. It is estimated that in MY2016/2017 the average yield of rapeseed amounted to 2.81 MT per hectare compared to the record 3.10 MT for MY 2015/2016.

Rapeseed cultivation becomes increasingly important in Lithuania because of the continuing use for biofuel production and perception of rapeseed oil by consumers as one of the healthiest edible oils.

Only 60 to 70 percent of Lithuanian soil is suitable for rapeseed cultivation. In 2000 rapeseed was hardly grown at all in Lithuania, but it became more popular with the emergence of biofuel plants in Lithuania and the increased demand for rapeseed oil. Rapeseed is a long-day plant. In Lithuania the winter rapeseed vegetation season lasts 130 to 180 days and the spring rapeseed vegetation period is 80 to 110 days. Under climate warming and unfavorable wintering conditions, winter rapeseed cultivation is often risky in Lithuania in comparison to spring rapeseed. In MY 2015/2016 the fast development of rapeseed acreage has slowed down in Lithuania, mostly due to uncertainty connected with changes in EU biofuel policy. Increased profitability of rapeseed production in MY2016/2017 made some farmers change their sowing preferences. However, growing demand for export of rapeseed and continuing National Indicative Target (NIT) for biofuel use are expected to stimulate production in MY 2017/2018.

MY 2017/2018

It is estimated that area planted for rapeseed in MY 2017/2018 will amount to 160,000 hectares, a four percent increase in comparison to the previous year due to continuing demand for biofuel production and export import demand from other EU member states. According to the preliminary data published by the Lithuanian Statistical Office, the acreage sown by winter rapeseed in the fall of 2016 for crop in MY 2017/2018 amounts to 110,000 hectares and is four percent higher than in MY 2014/2015. It is forecast that acreage of spring rapeseed in MY 2017/2018 will amount to almost 50,000 hectares and will remain at MY 2016/2017 level. However, in case of winter kill losses in winter rapeseed plantings, spring rapeseed acreage may increase. Lithuanian's total production of rapeseed in MY 2017/18 is forecast to increase by three percent in comparison to MY 2016/2017 and amount to 450,000 MT.

Production, cultivated area and yield of rapeseed

Marketing year starts in July	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017*	MY 2017/2018*
----------------------------------	-----------------	-----------------	-----------------	------------------	------------------

Cultivated area (000 hectares)	239	216	165	153	160
Yield (MT/hectare)	2.13	2.32	3.10	2.86	2.81
Crop (000 MT)	551	501	512	438	450

Source: Statistical Office

*FAS Warsaw estimate

Utilization

Rapeseed oil

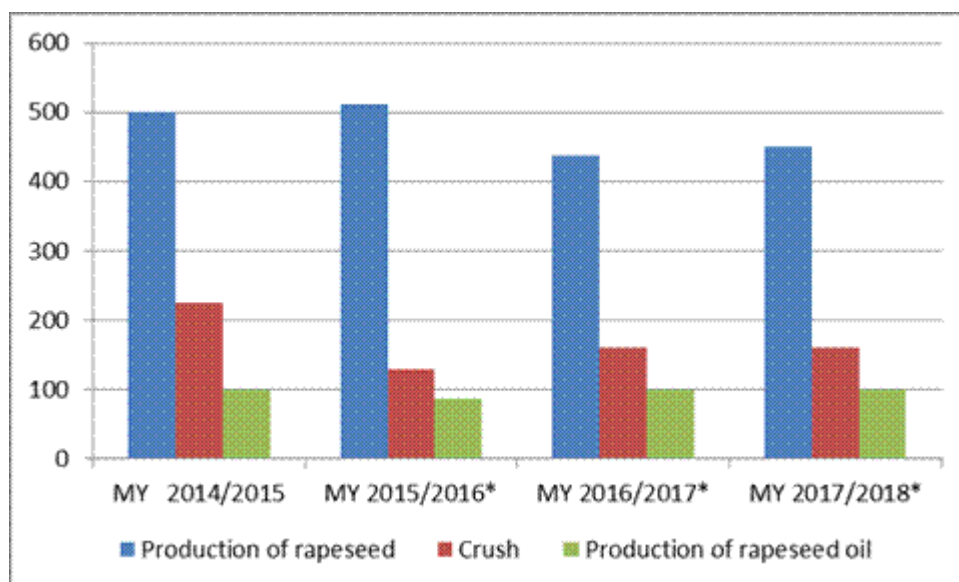
It is estimated that in MY 2016/2017 rapeseed crush will amount to 160,000 MT and will be 24 percent higher than the previous year because of an expected lower level of export of rapeseed within the European Union (see trade section). Rapeseed crush is determined by demand for oil for food consumption and the use of rapeseed oil for production of biodiesel, the primary biofuel produced in Lithuania. Production and consumption of rapeseed oil for food consumption remains almost constant while demand for rapeseed oil for biofuel production is growing in reference to the increasing Lithuanian's National Indicative Target (NIT) for biodiesel use. In order to fulfil the NIT for biodiesel, domestic production of rapeseed oil will have to be supplemented with higher imports. In MY 2016/2017 rapeseed oil output is expected to increase by 3 percent because of expected higher demand for production of biodiesel.

Rapeseed and soybean meal

In MY 2016/2017 output of rapeseed meal (a residual product in production of rapeseed oil) is estimated at 96,000 MT, a 20 percent increase in comparison to MY 2015/2016. The expected increase in output of rapeseed meal stems from the higher crush resulting from lower exports of rapeseed in MY 2016/2017. Feed use of rapeseed meal on MY 2015/2016 is estimated to decline because of lower demand from the swine industry.

Soybean meal is the primary protein feed used in livestock nutrition. Almost the entire demand for soybean meal has to be supplied by imports. It is estimated that in MY 2015/2016 the demand for soybean meal will increase due to higher use of protein feeds by the growing poultry industry.

Production of rapeseed, crush and output of rapeseed oil (000 MT)



Source: Statistical Office

*FAS Warsaw estimate.

Trade

Rapeseed

In MY 2015/2016 Lithuania exported 402,000 MT of rapeseed. All exports were destined for the European Union. The Netherlands was the main export destination for exports of rapeseed. In the first five months of the MY 2016/2017 (July-November) Lithuania exported 177,000 MT of rapeseed, over 50 percent less than in the same period of 2015.

Exports of rapeseed (000 MT)

	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017*	Jul-Nov 2016	Jul-Nov 2016/ Jul-Nov 2015 (%)
Total	368	266	402	300	177	-55
The Netherlands	112	157	160	40	26	-81
Belgium	76	3	108	60	50	-53
Germany	54	29	67	54	36	-33
Latvia	51	56	54	47	47	-22

Source: GTA

*FAS Warsaw estimate.

In MY 2015/2016 Lithuania imported 28,000 MT of rapeseed mainly from Latvia. In MY 2016/17

rapeseed imports are expected to increase because of lower supplies.

Imports of rapeseed (000 MT)

	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017*	Jul-Nov 2016	Jul-Nov 2016/ Jul-Nov 2015 (%)
Total	5	2	28	35	13	134
Latvia	3	0	21	31	13	158
Denmark	0	0	7	0	0	0

Source: GTA

*FAS Warsaw estimate.

Rapeseed oil

In MY 2015/2016 Lithuania exported 65,000 MT of rapeseed oil. All exports were destined for the European Union. Poland was the main export destination for exports of rapeseed oil. In the first five months of MY 2016/2017 (July-November) Lithuania exported 29,000 MT of rapeseed, 10 percent less than in the same period of 2015.

Exports of rapeseed oil (000 MT)

	MY 2014/2015	MY 2015/2016	MY 2016/2017*	Jul-Nov 2016	Jul-Nov 2016/ Jul-Nov 2015 (%)
Total	75	65	60	29	-10
Poland	61	37	40	20	26
Latvia	7	8	6	2	-34
Estonia	1	3	5	4	84

Source: GTA

*FAS Warsaw estimate.

In MY 2015/2016 Lithuania imported 113,000 MT of rapeseed oil mainly from Russia, Estonia and Belarus. In MY 2016/2017 rapeseed oil imports are forecast at 105,000 MT. The biggest share of imports comes from Ukraine and Estonia because of proximity of the market and competitive prices. In the first five months of MY 2016/2017 (July-November) Lithuania imported 50,000 MT of rapeseed oil, 9 percent less than in the same period in 2015 mainly because of reduced imports from Russia.

Imports of rapeseed oil (000 MT)

	MY 2014/2015	MY 2015/2016	MY 2016/2017*	July-Nov 2016	Jul-Nov 2016/ Jul-Nov 2015 (%)
Total	141	113	105	50	-9
Ukraine	2	11	20	13	84
Belarus	67	19	16	10	-40
Russia	44	38	18	7	-55
Estonia	22	21	25	13	60

Source: GTA

*FAS Warsaw estimate.

Protein meals

Rapeseed meal

In MY 2015/2016 Lithuania exported 111,000 MT of rapeseed meal, two percent more than the previous year. All exports were destined for the European Union. Denmark is the main export destination for exports of rapeseed meal. In the first five months of MY 2016/2017 (July-November) Lithuania exported 44,000 MT of rapeseed, 10 percent more than in the same period of 2015 due to increased demand from Norway and Latvia.

Exports of rapeseed meal (000 MT)

	MY 2014/2015	MY 2015/2016	MY 2016/2017*	Jul-Nov 2016	Jul-Nov 2016/ Jul-Nov 2015 (%)
Total	109	111	125	44	11
Denmark	31	33	25	10	-23
Norway	22	28	30	8	10
Latvia	14	18	25	10	77
Sweden	19	12	10	5	-16
Estonia	9	16	20	9	80

Source: GTA

*FAS Warsaw estimate.

In MY 2015/2016 Lithuania imported 60,000 MT of rapeseed meal mainly from Ukraine and Russia. In the first five months of MY 2016/2017 (July-November) Lithuania imported 25,000 MT of rapeseed meal, four percent less than in the same period of 2015.

Imports of rapeseed meal (000 MT)

	MY 2014/2015	MY 2015/2016	MY 2016/2017*	Jul-Nov 2016	Jul-Nov 2016/ Jul-Nov 2015 (%)
Total	50	61	60	25	-4
Belarus	20	9	5	2	-78
Ukraine	20	32	30	12	-9
Russia	2	12	15	6	90
Poland	3	7	10	5	257

Source: GTA

*FAS Warsaw estimate.

Soybean meal

In MY 2015/2016 Lithuania imported 133,000 MT of soybean meal, 8 percent less than in the previous year. Most soybean meal originated from the Netherlands and Argentina. The value of imports of soybean meal was over U.S. \$50 million. Since 2013 Lithuania has not imported soybean meal from the United States. It is expected that soybean meal imports will decline in MY 2016/2017 because of reduced demand from swine affected by ASF. It is expected that in MY 2015/2016 soybean meal imports will remain at the previous year's level due to continuing demand for poultry production.

Volume of imports of soybean meal (000 MT)

MY starts in October	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017
Total	137	145	133	135
The Netherlands	63	76	58	70
Argentina	8	50	32	30
Germany	7	6	9	6
Latvia	14	7	8	8
Russia	30	4	17	10
Finland	0	0	7	2

Source: GTA

*FAS Warsaw estimate.

End of Report.